

companies do tack on annoying fees (read the DRIP prospectus carefully before you sign up), for the most part DRIPs can be even cheaper than using a discount broker. One technicality: Some companies require you to buy at least one share of company stock through a broker before they'll let you buy shares directly. For a free list of hundreds of companies that offer DRIPs, see www.moneypaper.com.

- **If you feel compelled to use a broker, stick with a discount broker.** A typical transaction that would cost you on average \$10 at a discount broker could cost \$50 at a full-service firm. Also, full-service firms often charge annual maintenance fees of about \$150 a year. But there's no evidence that these would-be experts' advice justifies the steep commissions they charge. And keep in mind that all these brokers, including discount brokers—who are salespeople, not stock analysts—generally make money by getting you to buy or sell stocks. So even if you're comfortable stock-picking on your own, you're clearly better off paying lower commissions and going with a discount broker. Every year, *SmartMoney* magazine (www.smartmoney.com) publishes an excellent ranking of the best discount brokers, based on a variety of factors, including price and service. Read it. Magazines like *Kiplinger's* (www.kiplinger.com) and *Money* (www.money.com) also run articles on this topic from time to time.
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↓ FINANCIAL CRAMMING

- **The first phase of your investment plan should be to build an emergency savings cushion equal to at least three months' worth of living expenses. Keep that in**